

Off the MAP

As tourist arrivals shrink, hotels and travel-related services face a looming crisis. How bad is it?

By Nandini Vaish

The prestigious Royal Rajasthan on Wheels, the most expensive luxury train in India with fares varying from Rs 3 lakh to Rs 7 lakh, began its maiden journey on January 11. It had just 23 passengers against a capacity of 82. Faced with a Rs 40-crore investment in the train, the authorities had to cancel the second tour for want of passengers and ran the third with just eight persons on board.

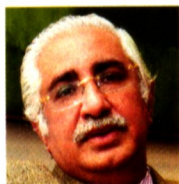
The sharp drop in footfalls during peak season is hitting the tourism industry hard. Nakul Anand, divisional chief executive (hotels) of ITC, is experiencing a sinking feeling at the Sheraton Rajputana Palace, the chain's luxury property in Jaipur. The hotel should have been buzzing in December, but it wasn't. Says Anand: "In 2007 we were chock-a-block. Now we are down by 30 per cent in our leisure hotel bookings. December 2008 was the most disastrous month that the country has seen in years."

If December reported 35-40 per cent cancellations, January is worse. Says Hemant Mittal, secretary of the Hotel and Restaurant Association of Rajasthan, "It has been a blood-bath. We are holding just 40 per cent of what we had in January 2008." In other tourist hotspots like Kerala and Goa, the picture is just as dismal. Resorts in Kovalam and Kumarakom of God's own country which used to sell a suite at Rs 75,000 a night on New Year's eve had to make do with just Rs 20,000 this time round. In Goa too, room rents have fallen 15-20 per cent.

The slump in tourist arrivals and poor occupancy levels have not been unexpected. At a high-profile meeting of the National Tourism Advisory Council comprising hoteliers, tour operators, industry bodies, airline operators, railway officials and tourism secretaries of states in mid-December, Tourism Minister Ambika Soni expressed concern over the dwindling numbers. "We're all meeting in the context of the situation created by the global meltdown and the recent terror attacks," she said, adding, "We will all work together to support the industry." That will clearly require a lot of hard work, with occupancy across the country down by 25-30 per

“Till last year we had to turn down bookings. Now, in peak season, we are down by 30 per cent in leisure hotels.”

NAKUL ANAND,
Divisional Chief Executive
(Hotels), ITC Hotels



cent, and further going to 50 per cent in the four- and five-star category of hotels in Mumbai, Hyderabad, Delhi and Bangalore.

India earned Rs 44,000 crore in revenues from tourism last year. A projected 20 per cent drop this year would mean a Rs 8,800-crore loss. Kerala, which raked in a record Rs 12,000 crore in tourism-related earnings last year, expects a drop of 30 to 40 per cent this year. The country's Tourism Board has revised its growth projection for international arrivals for the coming year from 15 per cent earlier to just 5. Even as the financial crisis kept business and leisure travellers at bay, 22-odd countries, including the US, UK and Australia, issued travel advisories against India following the Mumbai attacks.

Last year, foreign tourists spent over \$10 billion in the country. But this year, rues Vijay Thakur, president of the Indian Association of Tour Operators (IATO), that figure could register its sharpest fall ever. Kerala Tourism Minister Kodyeri Balakrishnan says he is devastated, since a state like Kerala has been registering the country's highest growth—over 20 per cent—in the annual inflow of foreign tourists for the past five years.

The hospitality industry, meanwhile, is going all out too woo tourists—foreign or domestic. From free meals and room nights to complimen-